

How the Two Models Connect

The channels of the OG-Core—CLEWS soft link:
economic interpretation, model representation, and validation status

Marcelo LaFleur · August 2026 · numbers from the Philippine reference run

Neither model alone can say who bears an energy transition

CLEWS / OSeMOSYS

a least-cost optimiser: chooses what to build and run so energy demand is met at the lowest discounted system cost

- **rich:** technology, operation, emissions, land & water
- **blind:** demand is *fixed* — no price response, no households, no government budget, no distribution

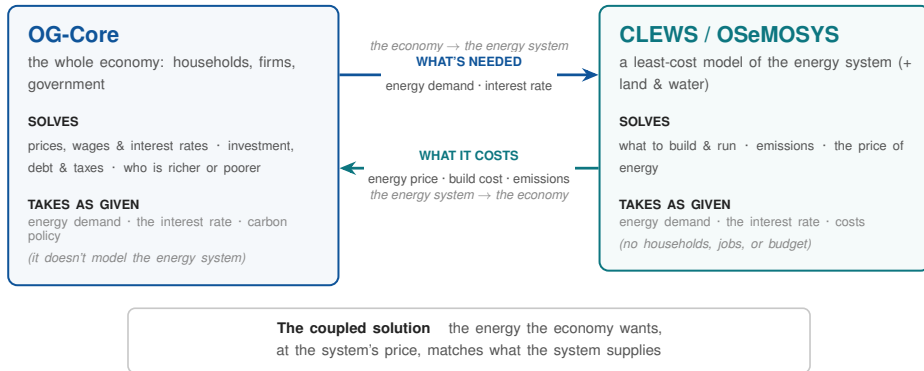
OG-Core

overlapping-generations general equilibrium: households by age $S \times$ lifetime income J , M industries, a government that closes its budget each period

- **rich:** behaviour, saving, fiscal policy, incidence, demography
- **blind:** no energy technology — energy is not a priced input to production

Each is detailed exactly where the other is blank, so what crosses the seam differs by direction: **quantities** flow from the economy; **prices and physical outcomes** flow from the energy system.

Quantities flow one way; prices and outcomes flow the other



Each model is hollow exactly where the other is deep.

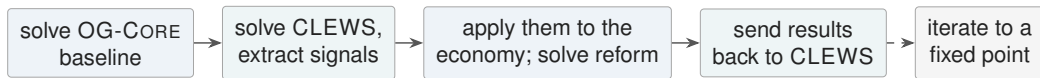
From the economy: energy demand and the interest rate. From the energy system: the energy price, build cost, and emissions. The models stay separate and pass a small set of auditable signals — that asymmetry is the design, not an accident.

Why a staged soft link, not one model

The classic hard-link route is foreclosed structurally:

- OG-CORE solves an overlapping-generations *transition path* period by period; OSEMOSYS is one perfect-foresight optimisation over all years at once
- hard links fold the economy in through a scalar welfare objective — and an OLG economy, an equilibrium among cohorts, has none to offer

So the link runs in stages:



Validated today: the single pass (solid) and the re-solve seam the loop requires. The outer iteration (dashed) is designed, not yet wired.

The deployed price is a levelized-cost proxy, not a marginal price

The theoretically clean signal is the marginal cost of electricity — what one more unit would cost the least-cost system to supply; under the competitive reading, the price that quantity would fetch. In this application it is *degenerate*: it binds in scattered years and is near zero elsewhere.

Four hygiene tests, applied before any marginal cost crosses the seam:

1. above the solver's own reporting resolution;
2. invariant across alternate optima — a price that moves while nothing physical changes is degeneracy, not information;
3. decomposed against any cost parameter that floors it;
4. traceable to a sourced input.

The electricity signal fails the first two, so the deployed price is the **levelized cost of electricity** — dense and robust; the Philippine reform raises it about 5% on average, reaching 16% by 2030.

A fixed point formed with this price is consistency under the selected proxy, not a competitive-equilibrium price.

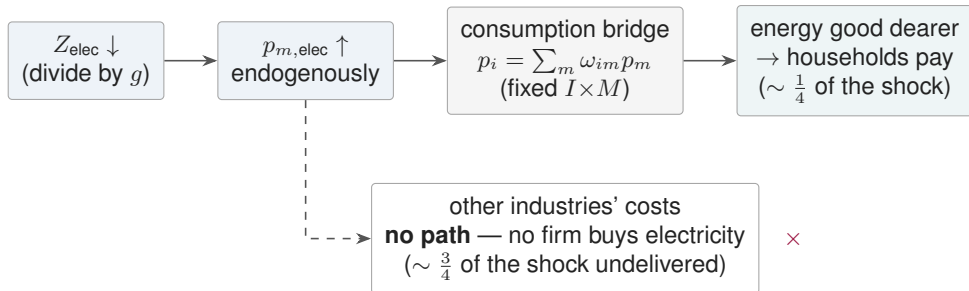
Who pays when electricity gets 5% dearer — and how the model charges them

Buyer	Share	In OG-CORE?	How the channel charges them	What it delivers
Industries (electricity as an input)	$\sim \frac{3}{4}$	missing — no firm buys from any firm	cost-push by hand: $Z_j / = 1 + \varphi_j(g-1)$, with φ_j = each industry's electricity cost share from the SAM	the <i>real resource cost</i> (contractionary)
Households (electricity bills)	$\sim \frac{1}{4}$	present, via the energy good	price wedge $1 + \tau^c \leftarrow g(1 + \tau^c)$; revenue rebated lump-sum via the transfer share α_T	<i>relative price + incidence</i> , fiscally neutral
<i>Electricity's self-use</i>	—	—	removed from φ	each peso enters <i>once</i>

The partition is the design: the wedge is deliberately revenue-neutral — a price rise is a resource cost, not a tax; unrebated, it would smuggle in a fiscal consolidation — and the resource cost is carried on the production side, sized by the SAM.

Why the firm-side route alone reaches only a quarter of the shock

Prices in OG-CORE are outcomes, not dials — but $p_m \propto 1/Z_m$ under zero-profit pricing, so lowering electricity's Z makes the model produce the higher price *endogenously*. Follow it:



The route is correct but *incomplete by construction*: the only electricity buyers in the model are households — and it encodes a system-cost change as an electricity-technology change. Hence the split: the wedge for the household quarter, the SAM-sized cost-push for the industrial three quarters, until firms buy electricity inside the model.

The eight channels

Channel	Dir.	Quantity entering the interface	Model representation
Energy price	C→O	reform/baseline cost ratio	industry cost-push + household wedge
Public investment	C→O	grid & transmission build cost	$\alpha_I \rightarrow K_g$
Capital intensity	C→O	fleet capital-cost share	energy industry's capital share γ_m
Health	C→O	PM _{2.5} emissions path	survival rates + effective labour
Carbon price	policy	exogenous price path	emissions penalty (energy side) + optional household wedge
Investment incentive	policy	tax-credit rate	user cost of capital
Discount rate	O→C	equilibrium return	planning-rate input
Energy demand	O→C	activity (Y_m or C_i)	annual demand path

The point: nothing crosses the boundary informally. Every exchanged quantity is one of these eight named, guarded channels — four in, two policy, two back.

Carbon costs enter once

Design

- energy side: an emissions penalty changes technology costs and the optimal build
- economy side: a household wedge can price direct carbon content, with revenue recycled
- one price, once — never also read back from the energy model's own implied carbon cost

Provenance checked in the case's own compiled solver input: `EmissionsPenalty` is empty in both the baseline and reform runs.

In the application (verified)

The Philippine reform solve carries *no* emissions penalty — it is a policy-composition scenario — so **no carbon price acts in the reported coupled numbers**. The flagship run *emits* a \$50/tCO₂ input for the energy model's next solve; the -0.021% standalone result is the household-wedge experiment run by itself.

Three capital mechanisms act on different equations

Mechanism	Economic object	Model entry	Interpretation
Public investment	grid and transmission	$\alpha_I \rightarrow K_g$	productive public capital; debt financing can crowd out private investment
Capital intensity	production factor mix	energy-industry γ_m	changes factor shares, unit cost, and the electricity price
Investment incentive	private capital incentive	tax credit in the user cost	shifts private capital demand toward generation

The capital-share lever and the investment incentive are *not* interchangeable views of one

build-out: they act on different equations, can move energy capital in opposite directions, and the accounting discipline forbids stacking them. Public and private capital are distinct objects — coupling both is complementary, not double counting.

Raising the capital share sheds capital; the tax credit draws it in

The first-order condition: capital is held in proportion to *revenue*, $K_E = \gamma_E p_E Y_E / \rho_E$ (share $\times$ revenue $\div$ cost of capital). What the lever actually does:

	What happens	Measured
1	the lever raises the capital exponent	$\gamma_E +12.2\%$
2	production gets cheaper; zero profit passes the cut into the price	$p_E -42.8\%$
3	cheaper electricity raises demand and output	$Y_E +20.9\%$
4	revenue $p_E Y_E$ <i>falls</i> — the price collapse outweighs the output gain	
5	capital is a share of revenue, so capital <i>falls</i>	$K_E -22.4\%$

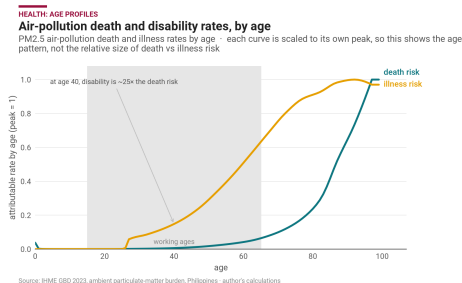
The identity $\hat{K}_E = \hat{\gamma}_E \hat{p}_E \hat{Y}_E$ reproduces the -22.4% to within 0.023 pp: the attribution is exact, not a narrative.

The conclusion, stated plainly: a higher capital *share* is not capital attraction. The instrument that attracts capital is the investment tax credit — it lowers the cost of capital ρ_E in the denominator, where γ_E does not appear. Two levers, two different equations, opposite effects on energy capital: never stack them.

Evidence: recomputed from the archived M=8 solved steady states (2026-08-04); a re-run under the re-blessed baseline is queued.

Cleaner air pays through workers now, and adds retirees later

- CLEWS supplies the $PM_{2.5}$ path; the GBD supplies the burden and its age profiles (right)
- a calibrated dose-response scales the 2.7% emissions cut to ~ 95 fewer deaths/year (not the 1,165 of one-for-one scaling)
- **mortality** skews elderly $\rightarrow$ saved lives add retirees $\rightarrow$ long-run output ≈ 0
- **morbidity** is working-age $\rightarrow$ effective labour rises (+0.19% near-term)



So the GDP effect changes sign with the horizon — gain on the path, cost in the steady state; only an age-structured model produces that split. (The morbidity elasticity is an application assumption.)

The economy answers back: its return and its demand

Discount rate

The equilibrium return r_p becomes the energy system's planning rate — a harmonisation convention, not a structural equality.

Still to establish:

- social rate vs financing cost
- real/nominal and annualisation conventions
- risk and tax adjustments

Both are inert in a single pass by construction; they move the economy only once the loop iterates.

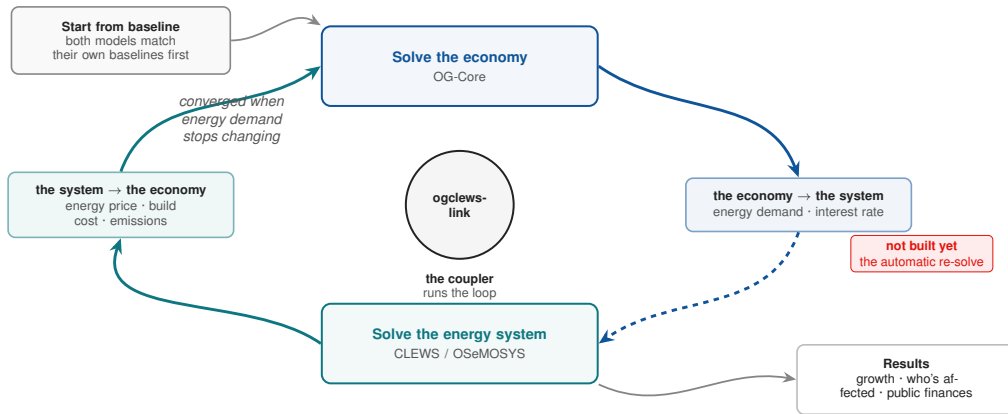
Energy demand

Sectoral output or consumption scales annual energy-service demand.

Current evidence:

- the artifact is produced after the economy solves
- a controlled +10% demand patch re-solves the energy model and raises production +4.3%
- the emitted artifact has not yet passed end to end — that is the outer controller's job

Closing the loop



Iterate until energy demand stops changing. The re-solve seam is built and tested (a controlled +10% demand patch moved production +4.3%); what remains is the outer iteration and its damping.

Counting each cost once: five principles

1. **One carbon price** — an energy-side penalty and an economy-side wedge on the same path; never also inferred from the energy model's implied carbon cost.
2. **Count each energy cost once** — the energy channel partitions electricity by use, self-use netted; a second representation of the same flow is forbidden.
3. **One view of generation capital** — cost-push *or* an investment credit; the capital share is not a third interchangeable view.
4. **Revenue must be routed** — recycle or finance the mechanical wedge revenue, or a hidden fiscal expansion rides along.
5. **Public and private capital are distinct** — $\alpha_I \rightarrow K_g$ and the firm's own K touch different objects.

Enforced by guards in the code where a forbidden combination can arise within a channel, and by experiment-composition rules across channels.

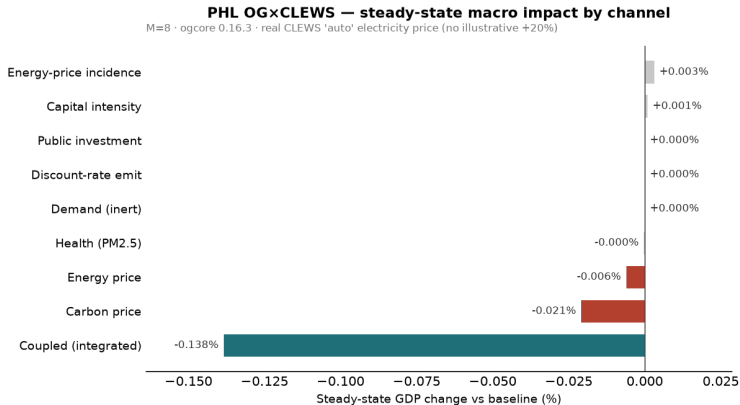
Three mechanisms drive the Philippine results: price, investment, health



- three mechanisms act: price, investment, health; the emitted signals are inert in one pass (no carbon price acts here)
- the steady-state total is not the sum of the standalone runs — they do not duplicate this treatment
- incidence is regressive under full recycling ($C_{ss} = -0.092\%$ in the recycled experiment)

% vs baseline	steady	t_0	t_{10}
output Y	-0.138	+0.179	+0.202
consumption C	-0.087	+0.066	+0.385

Each mechanism alone moves output little



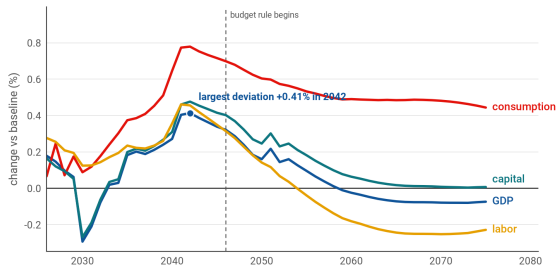
Standalone mechanism experiments, steady-state output impact (the figure’s “by channel” title predates the channel/experiment distinction). The energy price is ≈ 0 honestly transmitted; carbon (-0.021% , the household-wedge experiment) is the largest standalone contraction. Source: the committed golden record.

The coupled economy: gains along the path, costs in the long run

MACRO TRANSITION

The economy over time, vs baseline (output, consumption, capital, labor)

% change vs baseline, 2026–2075 · shows how the economy gets there over time



Source: OG-Core x CLEWS coupled model - author's calculations

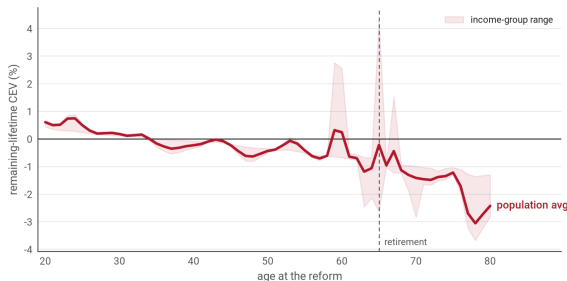
The coupled transition (% vs baseline): output +0.179% near-term, peaking about +0.4% in the early 2040s, then settling toward the -0.138% steady state as the survival gain adds retirees and energy costs persist. The horizon split is the health channel's signature and is invisible to a static model. Figure regenerated from the archived coupled run.

Who bears it: lifetime welfare by cohort

WELFARE: CEV BY AGE

Lifetime welfare effect, by current age

Welfare effect by age at the reform, averaged across income groups · ages 20–80



Source: OG-Core x CLEWS coupled model - author's calculations. lifetime CEV (consumption + labor felicity; warm-glow bequest omitted, second-order)

Remaining-lifetime welfare effect by age at the reform, with the income-group range. Younger cohorts gain (they live through the healthier transition); cohorts near and past retirement bear the cost. This cohort resolution is what the overlapping-generations side adds — no representative-agent partner can produce it. Figure regenerated from the archived coupled run.

Validation is layered, and each layer has a boundary

Evidence layer	What it establishes	Current boundary
Transform tests	shapes, bounds, concordance, fail-fast behaviour	not an economic calibration
Controlled runs	solve completion, direction, identity checks	some coefficients remain provisional
Golden record	macro aggregates stable against a committed record	excludes emitted artifacts and sectoral detail
Re-solve seam	a demand patch survives case copy, solve, read-back	no emitted artifact passed end to end
Closed-loop test	convergence and error propagation	outer controller not implemented

“Validated” never carries all five meanings at once; each claim in the paper is scoped to its layer.

Where the coupling stands

Established

- the full energy-to-economy pass on real inputs: the scenario's real electricity price, the real Global Burden of Disease data
- controlled validation evidence for the price, capital, and health mechanisms
- the re-solve seam responds correctly to a controlled demand patch
- carbon provenance in the application verified, and the reporting corrected to match

Next, in order

- the matched cumulative decomposition that reproduces the coupled run
- regression tests for the emitted artifacts
- the capital re-run under the re-blessed baseline
- the damped outer controller — loop closure
- the unit bridge, before any submission

One line: a small, auditable library of economic mechanisms — each signal counted once, each claim scoped to its evidence.